holdings, is a non-income-generating asset and it will be difficult to justify spending foreign currency to buy gold. Buttressing this argument was the fact that during the global boom of 2002–06, the appeal of gold as an asset had diminished even further.

Besides financial prudence, there were also logistic issues that inhibited the purchase of gold. The problem of putting through a transaction in a transparent manner is always a challenge. Not just the price of purchase, but the counterparty risk involved, the quantity of gold that can be bought without adversely tipping the price, due diligence, including the time gap between paying for and receiving gold, could all be potentially controversial.

Both the economics and logistics changed in 2009, presenting us a ‘golden’ opportunity to bolster our gold reserves. Importantly, the global financial crisis called into question the long-term health of the dollar as a stable asset, reinforcing the argument for diversification away from the dollar. More crucially, in September 2009, the IMF announced that it would be selling 403.3 tonnes of gold from its holdings to finance its lending to low-income countries and partly also to defray its own operating expenses. The IMF also indicated that before going for open market sales, it would make a preferential offer to official reserve holders, including central banks, to buy the gold at the going market price. The offer was on a first-come, first-served basis within a three-month window.

Given the size of the transaction, we confronted the classic Hamletian dilemma: ‘to buy or not to buy’ the gold on offer from the IMF. What made the decision even more difficult was that all of this had to be done in great secrecy since any leak would have moved the global price of gold, thereby exposing the Reserve Bank to heavy pecuniary and reputation risk. This ruled out the possibility of consulting any external expert. In fact, the initial discussion involved just three of us—Deputy Governor Shyamala Gopinath, an epitome of quiet competence and sturdy confidence, and Executive Director Harun Khan of unquestionable integrity and discretion. The other deputy governors were brought into the loop only after the three of us reached an ‘in principle’ view.